



A WORKING REFERENCE

Product Analytics for PMs

From Data to Product Decisions

A practical playbook on how product managers actually use analytics — to decide, not just to report. Metrics, instrumentation, funnels, retention, cohorts, experimentation, diagnostics, and the frameworks that tie them together.

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What's inside. The analytics mindset · the metrics hierarchy · instrumentation · user journeys · funnels · retention · cohorts · segmentation · feature analytics · experimentation · a diagnostics framework · analytics for AI products · analytics by product type · worked case studies · interview prep · an appendix of 25 frameworks · glossary.

Data

Insight

Decision

Outcome

A craft reference — the methods are durable. Tool names and benchmark numbers drift; verify specifics before acting on them.

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FOUNDATIONS

The Groundwork

Before any chart: the mindset that turns data into decisions, the hierarchy that organizes your metrics, and the instrumentation that makes any of it trustworthy. Get these wrong and every analysis downstream is built on sand.

1 The PM Analytics Mindset

Analytics is not the act of producing dashboards. It's the discipline of turning data into better decisions. The best product managers don't ask "what are the numbers?" — they ask "what decision am I trying to make, and what would change my mind?" Everything in this playbook serves that loop.

The chain: Data → Insight → Decision → Outcome

Each link is where most teams leak value. **Data** is raw events — useless on its own. **Insight** is a "so what" — a non-obvious truth about user behavior. **Decision** is the action you take because of it. **Outcome** is the measurable change in the world. Weak analytics stops at data ("DAU is 40k"); real analytics completes the chain ("power users who use feature X in week one retain 2× better → let's drive X in onboarding → activation up 12%").

Link	The question	Failure if you stop here
Data	What happened?	"Data theater" — dashboards nobody acts on
Insight	So what? Why?	Interesting trivia with no owner
Decision	What will we do?	Analysis paralysis
Outcome	Did it work?	No learning loop; you repeat mistakes

Decide-first, not report-first

Start from the decision and work backwards to the data you need — not from the data you happen to have. Before pulling a number, ask: "If this comes back high, what will I do? If low, what will I do?" If both answers are the same, the metric isn't decision-relevant and you're about to waste time.

PM LENS

Your job is not to be the team's report generator. It's to frame the question, find the insight, and own the decision. When someone asks "can you pull X?", the most valuable response is often "what decision are you trying to make?" — half the time, X isn't the number they actually need.

WATCH OUT — the four mindset traps

Vanity metrics (big numbers that don't inform a decision — total registered users, cumulative downloads). **Correlation as causation** (engaged users retain better ≠ engagement causes retention). **HARKing** (inventing the hypothesis after seeing the data, then "confirming" it). And **data theater** (elaborate dashboards that change no behavior). All four feel like rigor and produce none.

2 The Product Metrics Hierarchy

A product has dozens of metrics; a team that watches all of them watches none. The hierarchy organizes metrics into levels so everyone knows what matters most, how the pieces connect, and which number to defend when they conflict.

The levels

Level	What it is	Example
North Star	The one metric that best captures the value you deliver to users	Spotify: time spent listening · Airbnb: nights booked
Business (L1)	Top-line health: revenue, growth, margin	MRR, active customers, gross margin
Product (L2)	Engagement & value across the product	WAU, retention, activation rate
Feature (L3)	How a specific feature performs	Adoption, feature retention, depth of use
Operational	The plumbing that enables everything	Latency, uptime, error rate, support volume

The North Star Metric

A good **North Star Metric (NSM)** is a leading indicator of long-term success that reflects real user value, not just revenue. The test: if this number goes up, are users genuinely better off and is the business healthier? "Revenue" usually fails (you can grow it short-term by harming users); "weekly active teams that completed a project" might pass. Pair the NSM with **input metrics** — the handful of things you can directly influence that drive it.

EXAMPLE — input vs output

If your NSM (output) is "weekly retained users," you can't move it directly. Its **inputs** might be: onboarding completion, first-week "aha" actions, and notification opt-in. You ship against the inputs; the NSM moves as a consequence. PMs who try to "improve retention" without identifying its inputs are pushing on a string.

WATCH OUT — every primary metric needs a counter-metric

Optimizing one number in isolation invites gaming. Drive "sessions per user" and you might add dark patterns that spike sessions and tank satisfaction. Always pair a primary metric with a **guardrail/counter-metric** (e.g., sessions ↑ without churn ↑ or NPS ↓). The pair is the goal; the single number is a trap.

PM LENS

You own choosing the NSM and the input metrics for your area, and defending the hierarchy when teams chase their own pet numbers. A clean hierarchy is also an alignment tool: it lets you say "that's an L3 feature metric, and it's not moving our L2 retention — so it's not the priority," and have the data back you up.

3 Product Instrumentation

Every analysis you'll ever run depends on data that was captured correctly, months earlier. Instrumentation — what events you track and how — is the unglamorous foundation that determines whether your analytics are trustworthy or garbage. It's also one of the few analytics areas a PM directly authors.

The building blocks

Concept	What it is
Event	A discrete user action you record ("Order Placed", "Video Played")
Event properties	Details about that action ("amount", "category", "source")
User properties	Attributes of the person ("plan", "signup date", "country")
Identity	How you stitch a user's actions across devices & sessions
Tracking plan	The documented spec of every event, property, and its meaning

Event taxonomy — name things on purpose

Adopt a consistent convention before you have hundreds of events, or you'll drown in "btn_click", "ButtonClicked", and "click_button" all meaning different things. A common, durable pattern is **Object + Action** in a fixed case: `Order Placed`, `Subscription Cancelled`, `Message Sent`. Decide the convention once; enforce it forever.

EXAMPLE — the tracking plan as a PM artifact

Before engineering builds a feature, the PM writes the tracking plan: "We'll fire `Checkout Started` (props: `cart_value`, `item_count`) and `Checkout Completed` (props: `payment_method`, `discount_applied`)." This is what lets you answer "where do people drop in checkout?" later. Skip it, and you'll ship the feature, want the funnel, and discover the data was never captured — a delay of weeks.

WATCH OUT — bad instrumentation is silent and expensive

The cost of bad tracking shows up only when you need the data and it isn't there, isn't trustworthy, or means something different than you assumed. You can't retroactively collect events from last quarter. Treat instrumentation as a launch requirement, not a follow-up: a feature without its tracking plan is not "done."

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Make "tracking plan reviewed" a gate in your definition of done, and govern the taxonomy like a shared asset — a single owner, a naming convention, and a review before new events ship. The PMs who can answer questions fast are the ones who instrumented deliberately months ago; the ones who can't are paying interest on instrumentation debt.

CORE ANALYSES

The Workhorses

The handful of analyses you'll run again and again: how users move through your product, where they fall out, who comes back, how groups differ over time, and whether your features actually matter. Master these six and you can answer most product questions.

4

Understanding User Journeys

Before funnels and retention curves, you need a mental model of how a user actually moves from "never heard of us" to "can't live without us." The journey is the map; every other analysis is a measurement taken somewhere on it.

Mapping the journey

A journey traces the real sequence of states a user passes through — discovery, signup, setup, first value, habit, advocacy. The goal isn't a pretty diagram; it's to locate the **critical path** (the shortest route to value) and the **activation moment** — the point where a user first experiences the product's core value and becomes far likelier to stick.

EXAMPLE — the "aha moment"

The classic findings: Facebook saw users who added 7 friends in 10 days retain dramatically better; Slack found teams that hit ~2,000 messages were the ones that stuck. These "aha" thresholds aren't trivia — they become the target of onboarding. Your job is to find your product's equivalent: the early action most predictive of long-term retention.

Friction and time-to-value

Friction is anything that slows or stops progression along the critical path: a confusing step, a required integration, an empty state with nothing to do. **Time-to-value (TTV)** — how long until the user first feels the benefit — is one of the highest-leverage things you can shorten. Every minute and every step before the aha moment is a chance to lose someone.

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Map the journey first, then instrument it, then measure it. The journey tells you which funnel to build and which retention curve matters. Teams that skip straight to dashboards measure whatever's easy to measure rather than what's decisive — usually the steps after the aha moment, not the make-or-break steps before it.

Funnel Thinking

A funnel measures progression through a sequence of steps and shows you where people drop. It's the workhorse for any conversion problem — signup, onboarding, checkout, upgrade. The skill isn't building the funnel; it's reading it to find where users leave and then diagnosing why.

Where vs why

The funnel tells you **where** (step 3 → 4 loses 60%). It never tells you **why** — that's your investigation. A big drop can mean the step is broken, confusing, asks too much, or simply filters out people who were never going to convert. Don't confuse a quantitative where with a causal why; the where is a starting clue, not an answer.

Diagnosing a drop-off

1. **Confirm it's real** — is the tracking correct, or is the "drop" an instrumentation gap?
2. **Segment the funnel** — does the drop hit everyone, or one platform / channel / geography / device? A drop concentrated in one segment points straight at the cause.
3. **Look at the step itself** — session replays, the actual UI, what's being asked of the user.
4. **Form a hypothesis and test it** — then fix and re-measure (Section 10).

EXAMPLE — segmentation cracks the case

Checkout conversion drops 15% overnight. Aggregate, it's a mystery. Segmented by platform, it's entirely on Android — and a release shipped that day. The "where" (checkout) plus the "who" (Android) plus the "when" (the release) hands you the "why" in minutes. Segmentation is the single most powerful move in funnel diagnosis.

WATCH OUT — average funnels hide the truth

A flat overall conversion rate can mask one segment soaring and another collapsing. Always be ready to break a funnel by segment before concluding "conversion is fine." The aggregate is where insights go to die.

Retention Deep Dive

Retention is the truest measure of whether your product delivers lasting value. Acquisition fills a leaky bucket; retention is the size of the hole. A product that can't retain can't grow sustainably no matter how good its top-of-funnel is — which is why retention, not acquisition, is where serious PMs spend their attention.

Reading the retention curve

Plot the percentage of a cohort still active over time. The **shape** tells the story. A curve that decays toward zero means no lasting value — users try it and leave. A curve that **flattens into a plateau** means a stable group found ongoing value: the single strongest signal of product-market fit. The height of that plateau is roughly your retained core.

Retention type	Counts a user as retained if they...	Best for
N-day	return on exactly day N	High-frequency, daily-use products
Unbounded	return on day N or later	General retention health
Bracketed / range	return within a window (e.g., week 2)	Lower-frequency products

Frequency, habit, and stickiness

Match your retention metric to your product's natural frequency — a daily app and a quarterly tax product should never be judged on the same cadence. **Stickiness** (often DAU/MAU) measures how many monthly users show up on a given day — a proxy for habit. And habit forms when the product attaches to an existing trigger; the tighter that loop, the flatter the curve.

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Look at the **shape** before the single number. A flattening curve at 25% is healthier than a slowly-bleeding curve passing through 40% on its way to zero. And always check retention by cohort and segment — "retention improved" often means "we acquired better users," not "the product got stickier." Those imply completely different next moves.

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Cohort Analysis

A single aggregate number blends users who joined years ago with those who joined yesterday, hiding whether the product is getting better or worse. Cohort analysis fixes this by grouping users and following each group over time — turning a flat metric into a story of change.

The two kinds of cohort

Cohort type	Grouped by	Answers
Acquisition cohort	When they joined (Jan signups, Feb signups...)	Are newer users better than older ones? Did our changes help?
Behavioral cohort	What they did (used feature X, came from channel Y)	Which behaviors or sources predict retention & value?

Reading the cohort grid

The classic output is a triangular heatmap: each row a cohort, each column a period since joining, each cell a retention (or revenue) value. Read it two ways. **Down a column:** are later cohorts retaining better at the same age? (Is the product improving?) **Across a row:** how does one cohort decay over its life? (What's the natural curve?) Improvement shows up as columns getting darker as you go down.

EXAMPLE — proving an improvement actually worked

You overhaul onboarding in March. Aggregate retention barely moves — because months of old users dominate the average. But the cohort grid shows March-onward cohorts retaining 8 points higher at week 4 than pre-March cohorts at the same age. The change worked; the aggregate just hid it. This is the canonical use of cohorts: isolating the effect of a change from the inertia of your existing base.

PM LENS

Whenever you ship something meant to change behavior, evaluate it on **cohorts after the change vs cohorts before**, at the same age — never on the blended aggregate. Cohorts are also how you judge acquisition quality: a channel that brings users who decay fast is worse than a smaller channel whose users plateau, even if it looks bigger at the top of the funnel.

8

Segmentation

"The average user" doesn't exist. Segmentation splits your users into meaningful groups so you can see the patterns the aggregate hides — and it's the move that turns a vague metric change into a specific, actionable cause more often than any other single technique.

Ways to segment

Segmentation	Splits users by	Useful for
Behavioral	What they do (power users vs dabblers; feature usage)	Finding what your best users do differently
Lifecycle	Stage (new · activated · engaged · at-risk · churned · resurrected)	Targeting the right action to the right stage
Demographic / firmographic	Who they are (age, geo; or company size, industry)	Market & positioning decisions
Technographic	Device, platform, OS, app version	Diagnosing platform-specific issues

Segment, then analyze

The principle that runs through this whole playbook: never trust an aggregate before you've split it. A funnel, a retention curve, a metric move — each becomes far more informative once broken by the segment that matters. The art is choosing which segmentation to apply; behavioral and lifecycle usually reveal the most about why, while technographic and geographic usually reveal the most about where a problem lives.

EXAMPLE — the power-user curve

Plot users by engagement intensity and you typically get a smile-shaped distribution: a mass of low-engagement users, a dip, and a spike of power users at the far end. Studying that power-user spike — what they do, how they onboarded, what features they live in — reveals the behaviors worth driving everyone toward. The average buried all of this.

9

Feature Analytics

You shipped a feature. Did it matter? Feature analytics answers that honestly — and just as importantly, tells you when a feature is dead weight. Most features don't move the needle; knowing which ones do is how you decide where to invest next.

The dimensions of feature success

Dimension	Question	Watch for
Adoption	What % of eligible users tried it? (breadth)	Exposure vs discovery — did they even see it?
Engagement	How often & deeply do adopters use it? (depth, frequency)	One-time try vs repeated use
Retention impact	Do users of the feature retain better overall?	Correlation ≠ causation — see below
Business outcome	Did it move an L1/L2 or NSM metric?	A loved feature that moves nothing

The feature adoption funnel

Treat adoption as its own funnel: **exposed** → **tried** → **activated (got value)** → **retained (kept using)**. Where it leaks tells you the fix. Low exposure is a discoverability problem (placement, prompts). High exposure but low trial is a value-proposition problem. High trial but low retention means the feature didn't deliver. Each leak points to a different team and a different solution.

WATCH OUT — the feature-retention causation trap

"Users of feature X retain 2× better, so let's push X on everyone!" — maybe. But it may be that already-engaged users naturally find X, not that X causes engagement. The honest way to know is an **experiment** (Section 10): prompt a random group toward X and see if their retention rises. Acting on the raw correlation is one of the most common and costly analytics mistakes.

PM LENS

For every feature, define success before launch as a specific movement in a named metric, and be willing to conclude "this didn't work." The discipline to sunset or rework features that don't move anything — rather than defending them because they shipped — is what separates a portfolio that compounds from one that bloats.

ADVANCED METHODS

From Measuring to Proving

The methods that move you from describing what happened to establishing what causes what, systematically diagnosing why a metric moved, and measuring the new class of products where the old metrics don't fit.

10 Experimentation

Everything else in this playbook describes what happened. Experimentation is how you learn what causes what — the only reliable way to know a change actually drove the outcome rather than coinciding with it. A/B testing is the PM's instrument for separating real effects from wishful thinking.

The anatomy of an experiment

Start with a real **hypothesis**, not a hunch: "Because [insight], we believe [change] will cause [metric] to move by [amount] for [segment]." Then split users randomly into **control** (unchanged) and **treatment** (the change), run it, and compare. Randomization is what makes the comparison causal — the two groups differ only in the change, so any metric difference is attributable to it.

Concept	What it means & why it matters
Primary metric	The one outcome the test is designed to move; decided up front.
Guardrail metrics	Things that must not get worse (latency, churn, revenue). The safety net.
Statistical significance	Confidence the result isn't random noise (commonly $p < 0.05$).
Statistical power / sample size	Enough users to detect the effect you care about. Underpowered tests "find nothing" even when something's there.
Minimum detectable effect	The smallest change worth detecting; drives how big/long the test must be.

Interpreting results honestly

- **Don't peek and stop early.** Checking repeatedly and stopping when you hit significance massively inflates false positives. Decide the duration up front and wait.

- **Beware the novelty effect.** A new thing gets a curiosity bump that fades. Run long enough to see steady-state behavior.
- **A flat result is a real result.** "No significant difference" is valuable learning — it stops you shipping something that doesn't help.
- **Watch the guardrails.** A primary-metric win that quietly tanks a guardrail is usually a loss.

WATCH OUT — when not to A/B test

A/B testing needs sufficient traffic and a measurable, reasonably fast outcome. It's the wrong tool for low-traffic products (you'll never reach significance), strategic bet-the-company decisions, irreversible changes, or things whose effect takes a year to show. Forcing an experiment where it doesn't fit produces noise dressed as rigor — sometimes good judgment, a pilot, or a qualitative study is the honest choice.

PM LENS

You own the hypothesis, the primary metric, the guardrails, and the call on what to do with the result — including the discipline to ship a flat-but-safe change or kill a pet idea the data didn't support. Lean on a data scientist for sizing and significance, but never outsource the question "what are we actually trying to learn?"

11

The Product Diagnostics Framework

"Our key metric dropped 20% — why?" is the most common high-stakes question a PM faces, and the most common interview question too. Answering it well is a process, not a guess. This framework keeps you from flailing and gets you to the cause systematically.

The diagnostic sequence

Walk the steps in order; each narrows the search space before the next.

Step	Ask	Rules out
1 · Is it real?	Tracking bug, logging change, data pipeline issue, or a true change?	Phantom drops from broken instrumentation
2 · Is it external?	Seasonality, holiday, day-of-week, a market/competitor event?	Things you can't and shouldn't "fix"
3 · Internal change?	A release, a pricing change, a marketing campaign, a config flip?	Self-inflicted causes with a clear timestamp
4 · Which segment?	Break by platform / geo / channel / cohort / new vs existing	"Everyone" — usually it's one segment
5 · Which step?	If it's a funnel/composite, which sub-step moved?	Vague "conversion is down"
6 · Intervention	Given the cause, what's the smallest effective fix? How will you verify?	Acting before you've localized the cause

EXAMPLE — the framework in 90 seconds

Weekly active users fell 12%. **Real?** Logging looks fine. **External?** It's not a holiday. **Internal?** A release shipped Tuesday. **Segment?** The drop is 90% on iOS. **Step?** It's at app launch — sessions aren't even starting. **Cause:** the Tuesday iOS build has a crash on launch. **Intervention:** hotfix, then confirm WAU recovers in the iOS cohort. Same data, but the structured path turned a panic into a 90-second diagnosis.

PM LENS

Internalize this sequence until it's reflexive — "is it real → external → internal → which segment → which step → fix." It's the difference between a PM who stares at a falling line in dread and one who calmly narrows it to a root cause. Decompose the metric (e.g., $\text{revenue} = \text{users} \times \text{conversion} \times \text{ARPU}$) and you can often point straight at which factor moved.

12 Analytics for AI Products

AI products break the classic analytics toolkit in one fundamental way: the output is **probabilistic**, so "did it work?" becomes "how often, how well, and how badly does it fail?" You keep all the usual product metrics and add a whole layer measuring the quality, cost, and safety of the AI itself.

The AI-specific metrics

Metric	What it measures
Task success rate	Did the AI actually accomplish the user's goal? The core quality number.
Faithfulness / hallucination rate	How often output is unsupported or fabricated — the defining AI failure.
Acceptance / edit rate	Did the user keep the AI's output or rewrite it? A high-volume implicit quality signal.
Latency (p50 / p95)	Speed — slow AI feels broken regardless of quality.
Cost per query / per task	AI unit economics; can sink a product that "works."
Containment / deflection	For assistants: share of requests resolved without human handoff.
Safety rate	Frequency of harmful, unsafe, or policy-violating outputs.

Offline evals vs online metrics

Two settings, both required. **Offline evaluation** runs the AI against a curated, fixed set of test cases with known-good answers — your regression suite, used to compare prompts/models before shipping. **Online metrics** are real-user behavior: acceptance rate, task success, retention, and the business outcome. Offline lets you iterate safely; online tells you whether it actually helped. (This connects directly to the AI handbook and agents playbook — same discipline, applied as measurement.)

WATCH OUT — the AI vanity-metric trap

"Queries per user" or "messages sent" can rise while the product gets worse — users re-asking because the first answer failed looks identical to healthy engagement. Always pair a usage metric with a quality/success metric. In AI products especially, high volume driven by retries is failure wearing a growth costume.

PM LENS

Put quality (success/fidelity), cost-per-task, and p95 latency on the same dashboard as your usual engagement and business metrics. The teams that ship reliable AI treat "we raised task success from 82% to 91% while holding cost flat" as a normal sentence — not the ones debating whether the latest version "feels better."

APPLIED

Putting It to Work

The same toolkit looks different depending on what you're building. How analytics shifts across product types, four worked investigations that show the frameworks in motion, and how to handle analytics questions in a PM interview.

13 Analytics by Product Type

North Star metrics, the analyses that matter, and the traps to avoid all shift with the product. A marketplace lives or dies on liquidity; a SaaS product on net revenue retention; a consumer app on habit. Know the metric language of your domain.

Product type	Likely North Star	Metrics that matter most
Marketplace	Successful transactions / GMV	Liquidity (match rate, time-to-match), supply/demand balance, take rate, repeat rate, leakage off-platform
B2B SaaS	Weekly active accounts / value delivered	MRR/ARR, net revenue retention (NRR) , logo & revenue churn, activation, seat expansion, CAC payback
Consumer	Engaged active users (D/W/MAU)	Retention curves, stickiness (DAU/MAU), virality (k-factor), session frequency & depth
Healthcare	Patients reaching an outcome	Engagement and clinical outcomes/adherence; the buyer (payer/employer) measures cost saved, not DAU
Fintech	Transactions / assets under management	Transaction success rate, fraud/loss rate, funded-account rate, LTV, balance growth, regulatory/risk metrics
Platform / API	Active developers / API calls driving value	Developer activation, integration depth, API usage & reliability, ecosystem growth, time-to-first-call

EXAMPLE — same word, different meaning

"Retention" means returning tomorrow for a consumer social app, returning this month for a SaaS tool, and renewing next year for an enterprise contract — and for a marketplace, it's whether both sides come back. Apply a consumer daily-retention lens to an enterprise product and you'll panic over numbers that are completely healthy. Match the metric to the product's natural rhythm.

WATCH OUT — two-sided & B2B2C nuance

Marketplaces and platforms have **two populations** (supply & demand; or developers & end-users) whose metrics must be read together — a healthy demand side starves without supply liquidity. And in B2B2C (e.g., healthcare, employer benefits), the **user** and the **buyer** measure different things: users care about experience, buyers care about cost and outcomes. Track both or you'll optimize the wrong one.

14

Analytics Case Studies

Four short, worked investigations that put the frameworks in motion. Each follows the same arc: a metric signal, a structured investigation, an insight, and a decision.

Case 1 — A retention drop

Signal: Week-4 retention for new cohorts fell from 32% to 24% over two months. **Investigate:** cohort grid confirms it's new cohorts (not the whole base), so something changed for newcomers. Segment by channel — the drop is concentrated in users from a paid campaign that scaled up in that window. **Insight:** the campaign brought lower-intent users who never hit the aha moment; the product didn't get worse, the acquisition mix did. **Decision:** fix the channel targeting and shorten time-to-value in onboarding; judge the fix on post-change cohorts, not the blended average.

Case 2 — A conversion (growth) problem

Signal: Signup-to-activation conversion is stuck at 40% despite more traffic. **Investigate:** build the activation funnel; the big leak is at "connect a data source," where 45% drop. Segment — the leak is worst for users without admin permissions. **Insight:** a required setup step is blocking a large, identifiable group from ever reaching value. **Decision:** add a sample/demo dataset so users can experience value before the integration, and test it (Section 10) against the 45% drop-off.

Case 3 — A monetization question

Signal: Revenue is flat though usage grows. **Investigate:** decompose — $\text{revenue} = \text{active users} \times \text{paid conversion} \times \text{ARPU}$. Users are up, but paid conversion is falling and ARPU is flat. Segment paid conversion by plan and cohort — newer users convert far less. **Insight:** growth is coming from a lower-willingness-to-pay segment the free tier fully satisfies. **Decision:** revisit the free/paid boundary and test packaging changes, with churn and satisfaction as guardrails.

Case 4 — An AI product metric

Signal: An AI assistant's queries-per-user is rising, but so are complaints. **Investigate:** the engagement metric was being read as success; pair it with task success and edit rate. Task success is flat-to-down; users are re-asking because first answers miss. **Insight:** "more queries" was retries, not delight — a vanity metric masking a quality regression (traced to a retrieval change). **Decision:** fix retrieval, track task success and faithfulness as the real north star, and treat query volume only as a paired signal.

PM LENS — the common arc

Notice the shared shape across all four: **decompose or cohort the metric** → **segment to localize** → **form a causal hypothesis** → **decide and verify**. The specific numbers differ; the investigative reflex is identical. That reflex, not memorized benchmarks, is what makes a PM strong at analytics.

15 PM Analytics Interview Prep

Analytics questions are a staple of PM interviews because they reveal how you think under ambiguity. Interviewers aren't looking for the "right number" — they're looking for structure, clarifying questions, and a clean path from data to a decision. Here are the common types and how to handle each.

Question type	Sounds like	Structured approach
Metric definition	"How would you measure success of [feature/product]?"	Clarify goal → propose a North Star tied to user value → add input + guardrail metrics → note trade-offs
Metric drop / diagnosis	"X dropped 20% — what do you do?"	Run the diagnostics sequence (§11): real? → external? → internal? → segment → step → fix
Choose a North Star	"What's the one metric for [company]?"	State the value delivered → pick a leading, value-aligned metric → defend why revenue/vanity options fail
Design an experiment	"How would you test [change]?"	Hypothesis → primary metric → guardrails → randomization & sizing → how you'd interpret & decide
Trade-off / goal-setting	"Engagement vs revenue — which?"	Reframe around long-term value → propose measuring both → resolve with a guardrail, not a single number

PM LENS — how to stand out

Three moves separate strong answers: (1) **ask clarifying questions first** — what's the goal, the product stage, the user? — never dive into numbers cold; (2) **think out loud in a visible structure** — name your framework so the interviewer can follow; (3) **always land on a decision** — "...and so I'd do X, and verify by Y." Structure plus a decision beats a clever-but-unstructured insight every time.

WATCH OUT

The two most common failures: **jumping to a solution** before clarifying the question, and **listing metrics without prioritizing** ("I'd look at DAU, MAU, retention, NPS, revenue..."). Pick the one that matters most and say why. Breadth without prioritization reads as not knowing what's important.

REFERENCE

Frameworks & Glossary

A quick-reference shelf: twenty-five named frameworks worth knowing by sight, and the metrics vocabulary decoded so you can read and speak it fluently.

A

Appendix: 25 Analytics Frameworks

The frameworks PMs reach for most. Each is a one-line prompt, not a full treatment — enough to recognize it, recall what it's for, and know when to pull it off the shelf.

Measuring the whole product

- 1 **AARRR (Pirate Metrics)** — the lifecycle funnel: Acquisition, Activation, Retention, Referral, Revenue.
- 2 **HEART** — Google's UX-quality lens: Happiness, Engagement, Adoption, Retention, Task success.
- 3 **North Star Metric** — one value-aligned metric plus the input metrics that drive it.
- 4 **Input / Output Metrics** — move the outputs you care about by driving the inputs you control.
- 5 **Metric Tree / Decomposition** — break a top metric into multiplicative drivers (revenue = users × conversion × ARPU).

Behavior over time

- 6 **Cohort Analysis** — group users by join date or behavior and track each group over time.
- 7 **Retention Curve** — plot active % over time; a flattening plateau signals product-market fit.
- 8 **DAU/MAU Stickiness** — the ratio of daily to monthly actives as a proxy for habit.
- 9 **Power User Curve** — the distribution of engagement intensity; study the high-end spike.
- 10 **Engagement = Breadth × Depth × Frequency** — decompose "usage" into how many, how deep, how often.

Diagnosing & converting

- 11 **Funnel Diagnostics** — measure step-by-step progression to find where users drop, then why.
- 12 **Segmentation** — split users (behavioral, lifecycle, demographic, device) to surface hidden patterns.
- 13 **Aha Moment / Activation** — the early action most predictive of long-term retention.
- 14 **Jobs-to-be-Done (JTBD)** — frame analysis around the job users "hire" the product to do.
- 15 **Diagnostic Sequence** — real? → external? → internal? → segment → step → fix (see §11).

Experimentation

- 16 A/B Testing** — randomized controlled comparison to establish causation, not correlation.
- 17 Guardrail Metrics** — secondary metrics that must not degrade while you optimize the primary.
- 18 Sean Ellis PMF Test** — survey: % who'd be "very disappointed" without the product (~40% = signal).

Prioritization & product strategy

- 19 RICE** — score initiatives by $\text{Reach} \times \text{Impact} \times \text{Confidence} \div \text{Effort}$.
- 20 ICE** — a lighter prioritization score: Impact, Confidence, Ease.
- 21 Kano Model** — classify features as basic, performance, or delight to balance the roadmap.
- 22 Hook Model** — trigger → action → variable reward → investment, the loop behind habit formation.
- 23 Growth Loops** — systems where output feeds back as input (vs a one-way acquisition funnel).

Unit economics

- 24 LTV : CAC** — lifetime value against customer acquisition cost; the core efficiency ratio.
- 25 Net Revenue Retention (NRR)** — expansion minus churn within existing customers; >100% means you grow without new logos.

B Glossary

The metrics vocabulary, decoded.

Activity & engagement

DAU / WAU / MAU — Daily / Weekly / Monthly Active Users; "active" must be defined by a meaningful action, not just opening the app.

Stickiness — DAU/MAU ratio; how many monthly users show up on a given day. A habit proxy.

Activation — a new user reaching first real value (the aha moment); the bridge from signup to retention.

Time-to-value (TTV) — how long until a user first experiences the benefit; shorter is better.

Session frequency / depth — how often users return and how much they do per visit.

Retention & cohorts

Retention — share of users still active after a period. N-day, unbounded, or bracketed depending on product cadence.

Churn — the inverse of retention; users (or revenue) lost over a period.

Cohort — a group of users sharing a start point or behavior, tracked over time.

Resurrection — previously churned users who return to activity.

Conversion & funnels

Funnel — an ordered sequence of steps measuring progression and drop-off.

Conversion rate — the % moving from one step to the next (or end-to-end).

North Star Metric (NSM) — the single metric best capturing delivered user value.

Input / output metric — inputs you can directly influence vs the outputs they drive.

Guardrail / counter-metric — a metric that must not worsen while you optimize another.

Money

ARPU / ARPPU — Average Revenue Per User / Per Paying User.

LTV — Lifetime Value; total expected revenue (or margin) from a customer.

CAC — Customer Acquisition Cost; spend to acquire one customer. Read alongside LTV.

MRR / ARR — Monthly / Annual Recurring Revenue.

NRR / GRR — Net / Gross Revenue Retention; expansion-inclusive vs churn-only retention of existing revenue.

GMV · Take rate — Gross Merchandise Value transacted; the % a marketplace keeps.

k-factor (virality) — invites × conversion; >1 means self-sustaining viral growth.

Experimentation

A/B test — randomized control vs treatment to measure a change's causal effect.

Statistical significance — confidence a result isn't random chance (often $p < 0.05$).

Statistical power / sample size — the ability to detect a real effect; too small = false "no effect."

Minimum detectable effect (MDE) — smallest change worth detecting; sets test size/duration.

Novelty effect — a temporary response to newness that fades; run tests long enough to outlast it.

Instrumentation & AI

Event · property — a recorded user action and the attributes describing it/the user.

Tracking plan — the documented spec of every event and property; a PM-authored artifact.

Task success rate — how often an AI product accomplishes the user's goal.

Hallucination / faithfulness — rate of fabricated/unsupported AI output vs grounding in sources.

Acceptance / edit rate — how often users keep vs rewrite AI output; an implicit quality signal.

p50 / p95 latency — the median and the 95th-percentile response time; p95 better reflects the bad-case UX.

Closing note. The craft here — completing the Data → Insight → Decision → Outcome chain, watching the shape not just the number, segmenting before concluding, and proving causation with experiments — is durable. Tools, benchmarks, and dashboards will change; the discipline of using data to decide rather than to report is what lasts. Measure what helps you choose, and always close the loop back to outcome.